

SUPREME COURT OF PAKISTAN
(Appellate Jurisdiction)

Present:

Justice Munib Akhtar
Justice Irfan Saadat Khan

Civil Petition Nos.2558-L and 2575-L of 2025

(Against the judgment dated 24.10.2025 of the Lahore High Court, Lahore passed in ITR Nos. 165870 and 165885 of 2018)

M/s Ghulam Rasool and Company (Pvt), ...Petitioner(s)
195/1-D, Model Town Lahore (in both cases)

Versus

The Commissioner Inland Revenue, Lahore ...Respondent(s)
(in both cases)

For the Petitioner(s) : Mian Ashiq Hussain, ASC
Ch.Mumtaz-ul-Hassan, ASC
(video-link, Lahore)

For the Respondent(s) : Mr. Sarfraz Ahmed Cheema, ASC

Date of Hearing : 05.05.2026

ORDER

Irfan Saadat Khan, J.- These two petitions for leave to appeal are directed against the consolidated judgment of the Hon'ble Lahore High Court dated 24.10.2025. Given that both reference applications arise from identical facts and propose common questions of law, they are being taken up together.

2. It was held by the High Court that the Appellate Tribunal Inland Revenue's ("Tribunal") original order of 22.06.2015 had merged in the prior Division's Bench judgment of the High Court dated 28.04.2016, the High Court therefore concluded that the Tribunal lacked jurisdiction to subsequently entertain a rectification application under Section 221 of the Income Tax Ordinance, 2001 ("the Ordinance"), characterizing such an act as an attempt to "re-write" a settled matter.

3. Mian Ashiq Hussain, learned ASC, appearing for the petitioners, clarifies the procedural history that in the first round of litigation, a Full Bench of the Tribunal was constituted to address a singular, conflicting

point of law: the scope of tax exemption under Clause 126F of Part-1 of the Second Schedule to the Ordinance. The Tribunal's decision of 22.06.2015 specifically decided this exemption issue while explicitly reserving "the rest of the issues" for adjudication by respective Benches of the Tribunal.

4. Following that reservation of jurisdiction, the petitioners moved an application for rectification under Section 221 regarding unattended matters. By order dated 28.09.2017, the Tribunal deleted levy for the Workers' Welfare Fund (WWF) to bring the assessment in conformity with the binding law declared by this Court in the case of *Workers Welfare Funds vs. East Pakistan Chrome Tannery (Pvt.) Ltd.* [(2016) 114 Tax 385 S.C. Pak]. Additionally, the Tribunal corrected patent mathematical errors found in the assessing authority's calculations.

5. *Prima facie*, the contention that a partial adjudication on a single legal question (Clause 126F) creates a total merger of the entire cause of action, thereby stripping the Tribunal of its power to correct manifest errors in unattended issues, warrants serious consideration. The distinction between "reviewing" a decided issue and "rectifying" a patent error in an unattended issue is a cornerstone of tax jurisprudence.

6. In view of the submissions made, leave is granted to consider, *inter alia*, the following questions of law:

- I. *Whether the High Court erred in law by holding that the Tribunal's order had merged with the judgment dated 28.04.2016, notwithstanding that the said judgment expressly preserved the Tribunal's jurisdiction to decide unattended ancillary issues?*
- II. *Whether the correction of a statutory levy (WWF) and patent calculation errors, in light of binding precedents of this Court, constitutes "rectification of mistake apparent on the record" within the contemplation of Section 221 of the Ordinance?*
- III. *Whether the High Court's judgment, by invoking the doctrine of merger against issues never actually adjudicated in the first*

round, effectively renders the Tribunal's operative liberty clause otiose?

7. Let paper books be prepared and the matter be fixed for hearing before a three-member Bench, after four months.

Islamabad, the
05th May, 2026
Arshed/ Zainab Qazi, LC
Not approved for reporting